Post-Pandemic Sustainability Analysis of IndiGo Airlines

PRESENTED BY:

R. MANIKADAN

Problem Statement

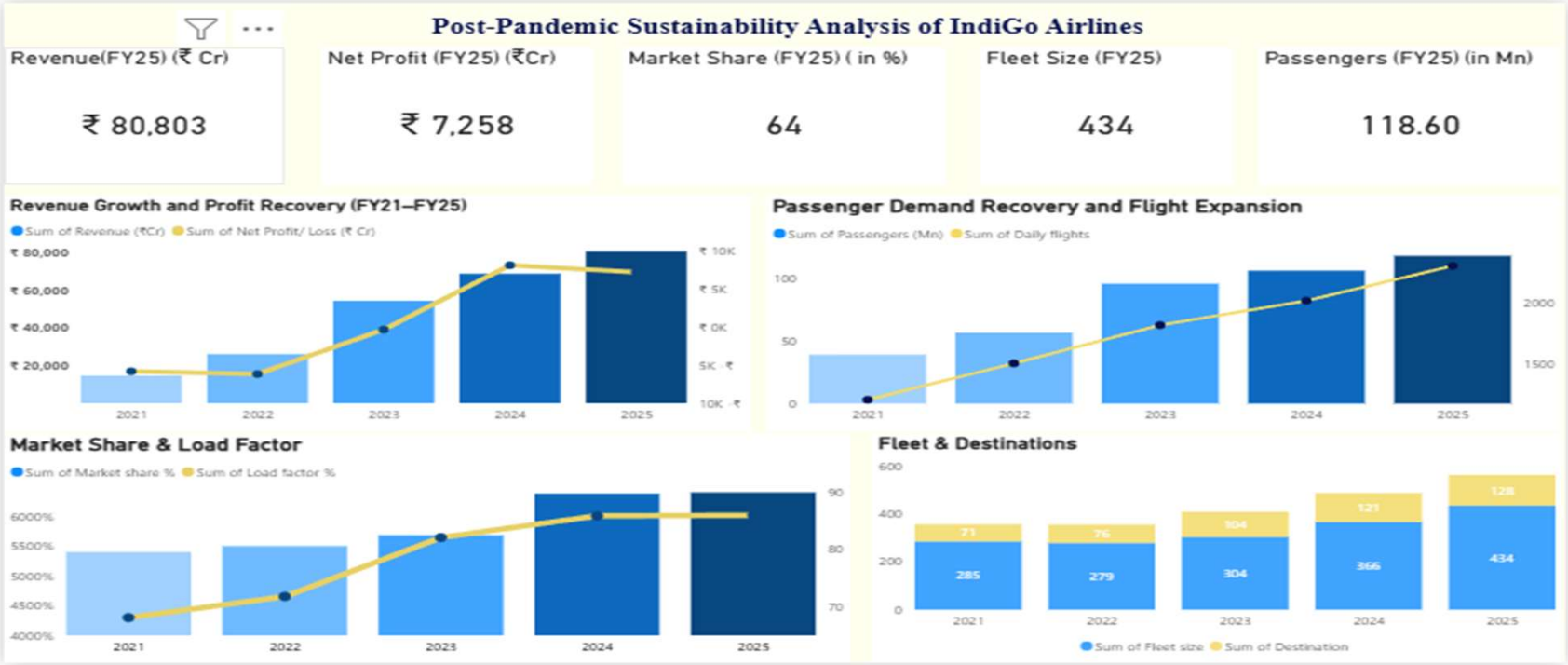
The airline industry faced severe disruption during the COVID-19 pandemic.

This project analyzes how IndiGo sustained and recovered its market leadership from FY2021 to FY2025 through financial recovery and operational expansion.

Dataset & KPIs

- Reveue
- Net profit/Loss
- Fleet size
- Passengers
- Destination
- Market share
- Load factors
- Daily flights

Financial and Operational Performance Dashboard (FY21–FY25)



Data Analysis (Financial & Operational Analysis)

After the impact of COVID-19, in 2021, the company reported a revenue of ₹14,640 crore with a significant net loss of ₹5,806 crore.

Passenger traffic was also relatively low at 39.3 million.

Despite the heavy losses, the company did not shut down operations.

Instead, it trusted its processes and continued operations with a strategic approach.In 2022, revenue increased to ₹26,161 crore;

however, net loss further widened to ₹6,161 crore. This was mainly due to the emergence of a new COVID variant (Omicron), which again affected the aviation industry.

During this period, the fleet size slightly reduced from 285 to 279 aircraft.

Data Analysis (Financial & Operational Analysis)

However, the company showed positive operational signals:

Passenger count increased compared to the previous yearDestinations

ExpandedMarket share increased by 1%Load factor improved by approximately 3.7%Daily flight operations increasedBy 2023,

The company showed strong recovery:

Revenue nearly doubled to ₹54,462 croreNet loss drastically reduced to ₹306 croreThe analysis indicates that despite external disruptions, the company maintained growth in key operational metrics such as passengers, destinations, and flight frequency.

Data Analysis (Financial & Operational Analysis)

In 2024, the company moved into profitability:

Revenue increased to ₹68,904 croreNet profit of ₹8,173 crore was achievedPassenger traffic grew to 106.7 millionFleet size expanded significantly to 366 aircraftDestinations increased to 121Market share jumped to 63.8%Load factor improved further to 85.9%Daily flights increased to 2,016

By 2025, the company achieved strong financial and operational stability:

Revenue reached ₹80,803 crore, the highest in the analysis periodNet profit stood at ₹7,258 crore, maintaining strong profitabilityPassenger traffic increased to 118.6 millionFleet size expanded further to 434 aircraftDestinations increased to 128Market share reached 64%Load factor improved to 86%Daily flights increased to 2,303

Key Insights

The company demonstrated a strong recovery from losses in 2021–2022 to profitability in 2024–2025.

Revenue showed consistent and significant growth across all years.Passenger traffic increased steadily, indicating strong demand recovery and expansion.

Market share improved from 54% in 2021 to 64% in 2025, showing competitive dominance.Load factor increased continuously, reflecting better operational efficiency.

Fleet expansion and increased destinations supported long-term growth

.The transition from heavy losses to strong profits highlights effective strategic and financial management.

Conclusion

The company successfully managed heavy losses during 2021 and 2022 primarily due to strong cash flow management.

One of the key strategies used was the Aircraft Sale and Leaseback Strategy:

The company purchases aircraft and immediately sells them to leasing companiesThen leases the same aircraft back for operationsThis strategy helped the company:

Maintain strong cash flowReduce financial pressure during loss periodsContinue expansion without heavy capital burdenOverall, the company's strategic decisions and financial discipline enabled it to recover strongly and move towards profitability.

Data Sources and References

- IndiGo Annual Reports (FY2021–FY2025)
- Indian Transport & Logistics News Articles
- The New Indian Express News Article

All financial and operational data used in this analysis has been derived from publicly available official reports and industry sources.

THANKYOU